The Coca-Cola Company

A Solid Start

KO raised its organic sales guide by +200 bps, driven by the impact of a handful of inflationary markets, and reiterated its outlook for +4-5% comparable EPS growth this year.

CORE

KO	OVERWEIGHT Unchanged	
U.S. CHPC & Beverages	NEUTRAL Unchanged	
Price Target	USD 69.00 raised 1% from USD 68.00	
Price (30-Apr-24)	USD 61.77	
Potential Upside/Downside	+11.7%	

Market Cap (USD mn)	266302
Shares Outstanding (mn)	4311.19
Free Float (%)	89.72
52 Wk Avg Daily Volume (mn)	14.0
Dividend Yield (%)	3.14
Return on Equity TTM (%)	42.82
Current BVPS (USD)	6.02

Source: Bloomberg

Price Performance Exchange-NYSE
52 Week range USD 64.69-51.55

Source: IDC
Link to Barclays Live for interactive charting

KO's 1Q print was solid, albeit not terribly incremental in our view. There wasn't anything from yesterday's discussion that meaningfully influenced how we are thinking about this stock, and as such, the share price performance that was in line with broader Staples on the day felt reasonable to us. But importantly, we'd characterize this lack of news as more in the "no news is good news" camp, as it's a reflection of continued strong momentum in the underlying business and varied evidence on the ways in which KO continues to execute against its top line led algorithm.

KO: Quarterly and Annual EPS (USD)

	2023	2024			2025			Change y/y	
FY Dec	Actual	Old	New	Cons	Old	New	Cons	2024	2025
Q1	0.68A	0.69E	0.72A	0.70E	0.72E	0.74E	0.73E	6%	3%
Q2	0.78A	0.79E	0.78E	0.81E	0.84E	0.83E	0.85E	0%	6%
Q3	0.74A	0.76E	0.76E	0.77E	0.81E	0.81E	0.82E	3%	7%
Q4	0.49A	0.58E	0.56E	0.54E	0.62E	0.61E	0.59E	14%	9%
Year	2.69A	2.81E	2.82E	2.81E	3.00E	2.99E	3.00E	5%	6%
P/E	23.0		21.9			20.7			

Consensus numbers are from Bloomberg received on 30-Apr-2024; 12:53 GMT
Source: Barclays Research

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Completed: 01-May-24, 05:11 GMT Released: 01-May-24, 10:00 GMT Restricted - External

U.S. CHPC & Beverages | **NEUTRAL**

The Coca-Cola Company (KO)

OVERWEIGHT

Income statement ($mn)	**2023A**	**2024E**	**2025E**	**2026E**	**CAGR**
Revenue	45,784	45,513	47,689	50,434	3.3%
EBITDA (adj)	14,464	14,807	15,818	16,980	5.5%
EBIT (adj)	13,336	13,715	14,673	15,769	5.7%
Pre-tax income (adj)	14,403	15,076	16,165	17,442	6.6%
Net income (adj)	11,660	12,203	12,924	13,945	6.1%
EPS (adj) ($)	2.69	2.82	2.99	3.23	6.3%
Diluted shares (mn)	4,338.8	4,322.0	4,322.0	4,322.0	-0.1%
DPS ($)	1.84	1.91	1.99	2.07	4.0%
Margin and return data	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
Gross margin (%)	59.7	61.1	61.5	61.8	61.0
EBITDA (adj) margin (%)	31.6	32.5	33.2	33.7	32.7
EBIT (adj) margin (%)	29.1	30.1	30.8	31.3	30.3
Pre-tax (adj) margin (%)	31.5	33.1	33.9	34.6	33.3
Net (adj) margin (%)	25.5	26.8	27.1	27.7	26.8
ROIC (%)	22.8	25.6	24.1	25.0	24.4
ROA (%)	11.1	11.7	11.8	12.0	11.7
ROE (%)	42.4	56.0	49.8	45.0	48.3
Balance sheet and cash flow ($mn)	**2023A**	**2024E**	**2025E**	**2026E**	**CAGR**
Cash and equivalents	9,366	10,844	9,542	12,559	10.3%
Total assets	97,703	94,669	99,196	104,904	2.4%
Short and long-term debt	42,064	45,564	45,564	45,564	2.7%
Total liabilities	70,223	72,880	73,251	73,888	1.7%
Net debt/(funds)	29,701	31,723	33,025	30,008	0.3%
Shareholders' equity	27,480	21,789	25,945	31,016	4.1%
Change in working capital	-846	-963	-93	-197	N/A
Cash flow from operations	11,599	11,400	13,162	14,136	6.8%
Capital expenditure	-1,852	-2,207	-2,051	-2,169	N/A
Free cash flow	9,747	9,192	11,111	11,968	7.1%
Valuation and leverage metrics	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
P/E (adj) (x)	23.0	21.9	20.7	19.1	21.2
EV/sales (x)	6.1	6.1	5.9	5.5	5.9
EV/EBITDA (adj) (x)	19.2	18.8	17.7	16.3	18.0
EV/EBIT (adj) (x)	20.8	20.3	19.1	17.6	19.5
Equity FCF yield (%)	3.6	3.4	4.2	4.5	3.9
P/BV (x)	9.8	12.3	10.3	8.6	10.2
Dividend yield (%)	3.0	3.1	3.2	3.4	3.2
Total debt/capital (%)	60.5	67.6	63.7	59.5	62.8
Net debt/EBITDA (adj) (x)	2.1	2.1	2.1	1.8	2.0
Selected operating metrics	**2023A**	**2024E**	**2025E**	**2026E**	**Average**
Organic sales growth (%)	12.0	8.9	6.1	5.8	8.2
Volume growth (%)	2.0	2.2	3.9	3.6	2.9
Price growth (%)	10.0	6.7	2.2	2.2	5.3

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (30-Apr-2024)	**USD 61.77**
Price Target	**USD 69.00**

Why OVERWEIGHT?

We expect KO's comprehensive transformation to re-accelerate the top and bottom line. As the company demonstrates an ability to sustainably deliver its algorithm, we expect more valuation credit to be given.

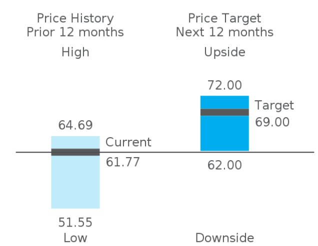
Upside case **USD 72.00**

Our upside case assumes that KO trades at a +25% premium to Large-Cap Staples on upside 2023 EPS of $2.85.

Downside case **USD 62.00**

Our downside case assumes that KO trades at a 10% to Large-Cap Staples on downside 2023 EPS of $2.78.

Upside/Downside scenarios



A Solid Start

Put simply, we see little to pick at in yesterday's release. Much like CCEP's trading update last week, KO's 1Q print felt straight down the middle to us. The quarter was solid, with the 1Q organic sales beat and upwards revision to the full year OSG guide (+200 bps to +8-9%) driven by inflationary pricing. But importantly, there were several signs of solid underlying business momentum outside of the hyperinflationary markets' impact. From a volume perspective, unit case volumes still grew despite concentrate sales -2%, and Latin America's resilience stood out to us in particular, with strength in Mexico, Brazil and Colombia (volumes up +MSD-HSD) helping to offset the drag of Argentina. And it was still notable in our view to see North America surpass our expectations across the board (concentrate, price/mix and UCV), even if this market isn't as debated for KO vs. some of its peers. From a marketing and innovation standpoint, KO seemed to be off to an eventful start this year, with a wide variety of initiatives underway that span products (e.g. Coca-Cola K-Wave in select markets), package (12oz slim cans in North America & mini cans launching in the grocery and club channels), and campaigns (linking Fanta to snacking occasions such as Carnival in Brazil).

All told, there was nothing that would change our thought process about the stock. On one hand that means there is little incremental insight to bring back to the ongoing discussion of potential catalysts for KO shares, but on the other hand it also once again reinforces the stability and dependability of KO's "all-weather" strategy.

We think the flexibility afforded by KO's balance sheet is underappreciated. To be sure, we get very little push back in terms of KO's strategy and its ability to deliver against that – leaving us (and many others in the investment community) left scratching our heads as to what will get this stock to work. Time and time again we hear the tax overhang brought up as a reason that could be keeping investors on the sidelines, even if we would argue (at least intellectually) that this should be fully priced into the stock at this juncture.

But with this as context, what really struck us this quarter was leverage sitting at 1.6x (vs. the target 2-2.5x range). By definition, there is ample flexibility to address the upcoming tax escrow payment (estimated $5.8 billion payment currently slated for mid-3Q24 at the earliest) as well as the upcoming fairlife contingent consideration payment (currently estimated to be north of $3.7bn in 2025 if all the financial targets are met this year). Even after factoring both those cash outflows into our numbers, we look for leverage to land near the low end of KO's target in 2024 and 2025 (2.1x and 2.0x, respectively). Not to mention, Bloomberg recently reported on discussions resuming for a potential CCBA IPO as early as next year (Coca-Cola Gears Up for IPO of $8 Billion Africa Bottling Arm, 04/29/24). The topic didn't come up yesterday, and in fact there has been no update on this front from KO since the company announced its decision to delay listing plans back in June 2022. But clearly, we think the strength of KO's balance sheet and cash flow profile means the company can continue to wait until preferred market conditions return (rather than having its hand forced because it needs the proceed sooner), and if/when the time comes, it will only further augment the flex inherent in the balance sheet. And we would point to KO's elevated capex in 2024 (~$2.2bn or ~4.9% of sales on our numbers), driven by fairlife and India capacity expansions, as yet another case in point as to the conviction KO has in its ability to meet upcoming obligations and still adequately support its business for growth.

Changes to the model. We raise our organic sales outlook towards the high end of KO's updated +8-9% range (BARCe +8.9%). Much like the guidance itself, the upwards revision in our numbers mainly reflects the stronger hyperinflationary markets (which flow through favorably in price/mix but is offset by a larger FX headwind). We now look for +6.7% consolidated price/mix (from +4.9), but with concentrate also now higher at +2.2% (from +1.7%). Including a -4.7% FX headwind and -4.7% structural drag to 2024 results, we estimate net sales decline -0.4%. We model gross margins up +140 bps, driven mainly by the structural benefit of refranchising (namely Philippines). From a quarterly perspective, we expect the refranchising benefit to step up in 2Q & 3Q before tempering in 4Q given Philippines faces a tougher comp that quarter. We look for SG&A at 14.3% of sales while our advertising and bottling & distribution forecasts are at 10.7% and 5.9% of sales, respectively. All-in, we raise our FY24 EPS estimate by 1c to $2.81 that reflects the high end of the company's +4-5% comparable EPS guidance range (BARCe +5.1%).

We are raising our PT to $69. Our valuation methodology assumes a +20.0% premium to Large-Cap Staples peers or ~24.4x multiple on a P/E basis on our 2024 EPS estimate of $2.82. Our prior price target of $68 assumed a +20.0% premium to Large-Cap Staples peers or ~24.1x multiple on a P/E basis on our CY24 EPS estimate of $2.81.

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Primary Stocks (Ticker, Date, Price)
The Coca-Cola Company (KO, 30-Apr-2024, USD 61.77), Overweight/Neutral, CD/CE/D/E/J/K/L/M/N

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U.S. CHPC & Beverages

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Constellation Brands (STZ)	Coty Inc. (COTY)	Duckhorn Portfolio Inc (NAPA)
Edgewell Personal Care Company (EPC)	Energizer Holdings, Inc (ENR)	International Flavors & Fragrances (IFF)
Keurig Dr Pepper (KDP)	Kimberly-Clark Corp. (KMB)	Molson Coors Beverage Company (TAP)

Newell Brands Inc. (NWL)	ODDITY Tech Ltd. (ODD)	Olaplex Holdings, Inc. (OLPX)
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The Coca-Cola Company (KO)	The Estée Lauder Companies (EL)	

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The Coca-Cola Company (KO / KO)

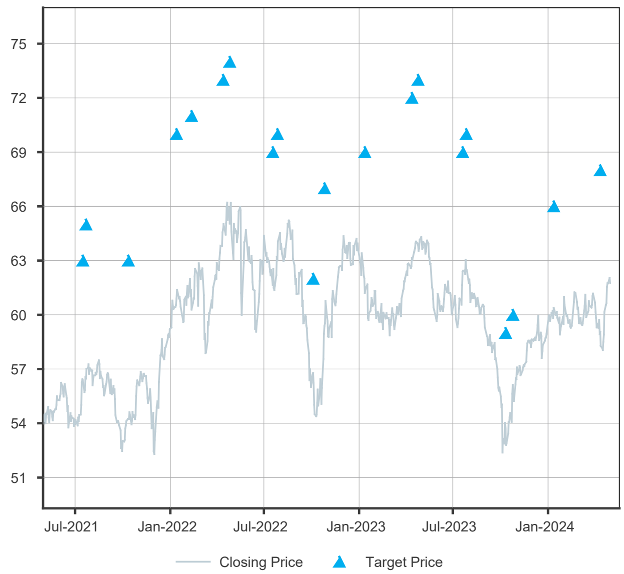
Stock Rating: **OVERWEIGHT**

Industry View: **NEUTRAL**

Closing Price: **USD 61.77** (30-Apr-2024)

Rating and Price Target Chart - USD (as of 30-Apr-2024)

Currency=USD



Source: IDC, Barclays Research

Link to Barclays Live for interactive charting

Publication Date	Closing Price*	Rating	Adjusted Price Target
11-Apr-2024	59.72		68.00
12-Jan-2024	59.81		66.00
25-Oct-2023	55.64		60.00
11-Oct-2023	54.03		59.00
27-Jul-2023	63.05		70.00
20-Jul-2023	61.64		69.00
25-Apr-2023	63.95		73.00
13-Apr-2023	62.69		72.00
12-Jan-2023	61.21		69.00
26-Oct-2022	58.95		67.00
04-Oct-2022	56.78		62.00
27-Jul-2022	63.21		70.00
18-Jul-2022	61.65		69.00
26-Apr-2022	65.94		74.00
13-Apr-2022	64.73		73.00
11-Feb-2022	61.38		71.00
13-Jan-2022	60.90		70.00
12-Oct-2021	54.23		63.00
22-Jul-2021	56.47		65.00
16-Jul-2021	56.40		63.00

On 01-May-2021, prior to any intra-day change that may have been published, the rating for this security was Overweight, and the adjusted price target was 62.00.

Source: Bloomberg, Barclays Research

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Valuation Methodology: Our price target of $69 is based on a ~24.4x P/E reflecting a +20% premium to Large-Cap Staples peers on our CY24 EPS estimate of $2.82.

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U.S. CHPC & Beverages

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